

2019), the VC industry in India is based on a US-centric model. In simple terms, he explains, the attractiveness of a tech business is that “it is created once and then reused so that the pace of growth can be substantive” and that VCs are focussed on companies that can grow 3x every year. “Now it’s been scaled down to at least doubling revenue every year... which cannot happen in the traditional SMB segment of India,” he says.

Since the VC model in India and its evolution was heavily influenced by the US model, where VCs rarely invest in the about 3 million small enterprises in America, says Natarajan. “Instead, they (the VCs) focus on tech companies, from digital equipment to modern start-ups. This is due to the reusability of technology, where an initial investment in a product or technology can be leveraged multiple times without significant additional costs,” he says.

However, a new trend is emerging. Randev says state governments are introducing funds for SMEs in collaboration with VCs, such as the Maharashtra Innovation Technology Fund, “which is a ₹200-crore fund by the state government and there is a clear mandate to invest 50% of the capital in start-ups and MSMEs based out of Maharashtra,” he says.

Yash Dholakia, Partner at Sauce.vc, an early-stage VC fund, notes that exciting MSME businesses can attract investments if they offer strong distribution, supply chain efficiency, and competitive procurement costs. By launching new-age brands catering to modern consumers and leveraging e-commerce platforms, these businesses become appealing, say experts. However, traditional MSMEs without differentiation hold little value to investors. What then should MSMEs in manufacturing or B2B businesses do?

One solution could be a special fund for them. Pai asserts that there is a need to create a special fund because SMEs, when scaled

up, generate more jobs than large companies. Industry watchers say that this mechanism is crucial as finance and capital are the biggest hurdles for SME growth globally. While VCs might not be suited for this task, it falls within the realm of private equity (PE) funds or similar entities to establish a dedicated fund category for SMEs.

For instance, Foodkraft, a subsidiary of GRM Overseas Ltd that was founded in 1974, found success through this approach. Sauce.vc, primarily focussed on VC investments, acquired a 3% stake in Foodkraft, according to reports. Foodkraft Founder Atul Garg describes this investment as resembling a PE investment for them.

“We have greatly benefitted from shifting our mindset since partnering with Sauce.vc,” says Garg. “Traditional businesses like ours are often hesitant to dilute stakes when raising funds, which stems from our background. However, embracing professionalism is crucial for driving business growth, making this step necessary.”

In addressing mindset shift, Natarajan emphasises the urgent need to combat delayed payments from large enterprises to small businesses—a practice perpetuating a negative working capital cycle among MSMEs. According to Pai, the predominant challenge for SMEs lies in delayed payments from both big corporations and the government, resulting in constrained working capital and a constant struggle to recover funds. While the government has taken steps to resolve the issue of delayed payments, these moves have complicated things further. This financial strain poses a significant barrier to growth and investor attraction.

As a potential solution, there’s anticipation that the new government may collaborate with private investors to inject funds and stimulate the MSME sector, offering hope for change. MSME players will have their fingers crossed. **BT**

MSME CREDIT GAP

1,544
TOTAL
DEMAND

725
UNADDRESSABLE
DEMAND

819
ADDRESSABLE
DEMAND

289
CURRENT
SUPPLY

530
GAP

ALL FIGURES IN \$ BILLION

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